



A COMMUNITY OF CHOICE

Planning and Development Department

2101 O'Neil Avenue, Suite 202, Cheyenne WY 82001
(Phone) 307-637-6282 (Fax) 307-637-6366

MEMO

To: Honorable Mayor Patrick Collins and Members of the City Council
From: Seth Lloyd
Subject: Building Fee Exception Expansion Ordinance
Date: August 28, 2023

Affordable Housing Task Force Recommendation:

The fourth Affordable Housing Task Force recommendation from 2022 was that the City create a fee waiver for building permits for projects producing affordable housing. The recommendation was part of the Affordable Housing Task Force Work Session and Staff was directed to generally work on all items presented. The recommendation is attached.

Background:

The current City code has a section which gives building permits in the downtown area an exception to building permit fees. This code section includes a sunset date and sets up the program as more of a reimbursement than a waiver. As opposed to creating a new section of code, Staff proposes fulfilling the Affordable Housing Task Force's recommendation by amending the current section.

The proposed code amendment has the following features:

- The inclusion of a fee exception for building permits for the creation of income restricted housing (per the recommendation of the Affordable Housing Task Force)
- The inclusion of a fee exception for building permits for the maintenance of historic housing (requested as part of the change to this section of code)
- Defining the limit of fees eligible to be reimbursed for the new exception types
- Increasing the limit of fees eligible to be reimbursed for all exception types
- Extending the sunset of the program generally

The monetary limits were set based on an approximation based on the original downtown program.

Although the Ordinance is proposing modifying the text of the existing section of code, a redline ordinance was deemed less clear than cleanly replacing the section. The redline is also attached for reference.

The item for consideration is an amendment to City Code. This is approved by Ordinance. The Governing Body review schedule is anticipated as follows:

- Introduction and Referral 8/28/2023
- Finance Committee 9/5/2023
- Second reading 9/11/2023
- Finance Committee 9/18/2023
- Third and final reading 9/25/2023

Attachments:

1. Ordinance
2. Redline of existing code
3. Affordable Housing Task Force Recommendation #4

ORDINANCE NO. _____

ENTITLED: "AN ORDINANCE AMENDING SECTION 15.08.031, BUILDING PERMIT FEES–EXCEPTIONS FOR INCENTIVIZATION PROGRAM, OF CHAPTER 15.08, INTERNATIONAL BUILDING CODE ADOPTED, OF TITLE 15, BUILDINGS AND CONSTRUCTION, OF THE CODE OF THE CITY OF CHEYENNE, WYOMING, TO CREATE INCENTIVES FOR ATTAINABLE HOUSING AND HISTORIC PRESERVATION."

BE IT ORDAINED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING:

Section 1. That Section 15.08.031, Building permit fees–Exceptions for incentivization program, of Chapter 15.08, International Building Code Adopted, of Title 15, Buildings and Construction, of the Code of the City of Cheyenne, Wyoming, is amended to read:

15.08.031 - Building permit fees–Exceptions for incentivization program.

- A. Programs that reduce the total amount of project fees paid have been found to successfully incentivize property development. The City of Cheyenne governing body desires to encourage and incentivize quality projects of the following varieties:
 - 1. Infill and the redevelopment and reuse of existing buildings and property within the downtown core;
 - 2. Residential development that contributes to attainable housing available to the workforce; and
 - 3. The rehabilitation of historic structures in ways which maintain historic integrity.
- B. The "City of Cheyenne Development Incentivization Program" is hereby established. To be eligible for the program, an applicant must satisfy the following conditions:
 - 1. Upon a form to be provided, complete and submit an application to the city planning and development department;
 - 2. A building permit application must be received by the city building office prior to June 30, 2030; and
 - 3. Meet the specific requirements of at least one (1) of the following incentivization categories:
 - a. Be located within the boundaries of the core development incentivization program project area identified in Exhibit A (map) attached to Ordinance No. 4241, on file

with the office of the city clerk and also available through the planning and development department;

- b. Provide housing that is income-restricted to eighty percent (80%) of area median income (AMI) as defined by the U.S. department of housing and urban development (HUD). The income restriction required under this subparagraph shall be for a period of not less than fifteen (15) years; or
 - c. Be a contributing historic structure in a historic district and submit a building permit application which only proposes changes consistent with maintaining historic integrity.
- C. The city shall reimburse the building permit fees as specified under Section 15.08.030 of this chapter, as provided under this subsection. Building permits issued the previous fiscal year shall not be eligible for reimbursements under this subsection if received more than seven (7) days after the close of the fiscal year. No reimbursement of a building permit fee shall be issued before the completion of the attendant project. Building permit fees shall be reimbursed as follows:
 1. Up to five thousand dollars (\$5,000.00) per program project located within the boundaries of the core development incentivization program project area as provided by subparagraph (B)(3)(a) of this section;
 2. Up to five thousand dollars (\$5,000.00) per program project that creates affordable single-family housing in accordance with subparagraph (B)(3)(b) of this section;
 3. Up to ten thousand dollars (\$10,000.00) per program project that creates affordable multi-family housing in accordance with subparagraph (B)(3)(b) of this section; or
 4. Up to one thousand dollars (\$1,000.00) per program project that rehabilitates a historic structure in accordance with subparagraph (B)(3)(c) of this section.
- D. Planning and development department staff shall provide reports on prior fiscal year program activity to the governing body not less than annually. The reports shall contain:
 1. The total number of projects utilizing the program;
 2. The total amount of fees waived; and
 3. The total valuation of projects incentivized by the program.
- E. The total amount of building permit fees reimbursed under this section shall be capped for each fiscal year in accordance with the limitations imposed under this section and as determined by the director of the planning and development department. Reimbursements shall be limited as follows:

1. Not more than \$200,000 for the entire program;
2. Not more than \$100,000 for downtown core projects;
3. Not more than \$150,000 for affordable housing projects; and
4. Not more than \$20,000 for historic rehabilitation projects.

F. A decision from the director of the planning and development department, or their designee, on any matters of interpretation in this section shall be final.

G. This section is repealed effective July 1, 2030.

Section 2. Sections, paragraphs, sentences, clauses and phrases of this ordinance are severable. If any phrase, clause, sentence, paragraph or section of this ordinance is declared illegal or unconstitutional, such illegality or unconstitutionality shall not affect any of the remaining phrases, clauses, sentences, paragraphs and sections.

Section 3. That this ordinance shall be in full force and effect upon its publication.

FIRST READING: _____

SECOND READING: _____

THIRD AND FINAL READING: _____

PATRICK COLLINS, MAYOR

(SEAL)

ATTEST:

KRISTINA F. JONES, CITY CLERK

Published: _____
Wyoming Tribune-Eagle

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15.08.031 - Building permit fees–Exceptions for incentivization program.

- A. Programs that reduce the total amount of project fees paid have been found to successfully incentivize property development. The ~~city~~ City of Cheyenne governing body ~~along with the downtown development authority~~ desires to encourage and incentivize quality ~~infill projects and the redevelopment and reuse of existing buildings and property within the downtown core.~~ Programs that reduce the total amount of project fees paid have been found to successfully incentivize property development. of the following varieties:
1. Infill and the redevelopment and reuse of existing buildings and property within the downtown core;
 2. Residential development that contributes to attainable housing available to the workforce; and
 3. The rehabilitation of historic structures in ways which maintain historic integrity.
- B. ~~A program, to be called the~~ The "City of Cheyenne ~~Core~~ Development Incentivization Program;" is hereby established. To be eligible for the program, an applicant must satisfy the following conditions:
- ~~1. To be eligible for the program, an applicant must fulfill the following:~~
 - ~~a. 1.~~ 1. Upon a form to be provided, complete and submit an application to the city planning and development department;
 - ~~b. 2.~~ 2. A building permit application must be received by the city building ~~department~~ office prior to June 30, ~~2025-2030; and~~

3. Meet the specific requirements of at least one (1) of the following incentivization categories:

- a. Be located within the boundaries of the core development incentivization program project area identified in Exhibit A (map) attached to Ordinance No. 4241, on file with the office of the city clerk and also available through the planning and development department;
- b. Provide housing that is income-restricted to eighty percent (80%) of area median income (AMI) as defined by the U.S. department of housing and urban development (HUD). The income restriction required under this subparagraph shall be for a period of not less than fifteen (15) years; or
- c. Be a contributing historic structure in a historic district and submit a building permit application which only proposes changes consistent with maintaining historic integrity.

~~2. Reimbursements for building permits issued the previous fiscal year shall not be eligible if received more than seven days after the close of the fiscal year.~~

C. The city shall ~~waive-reimburse the~~ building permit fees, ~~as set forth in specified under~~ Section 15.08.030 of this chapter, ~~up to five thousand dollars (\$5,000.00) per program project located within the boundaries of the core development incentivization program project area identified in exhibit A (map) attached to ordinance no. 4241. A map of the program project area is also available through the planning and development department.~~ as provided under this subsection. Building permits issued the previous fiscal year shall not be eligible for reimbursements under this subsection if received more than seven (7) days after the close of the fiscal year. No reimbursement of a building permit fee shall be issued before the completion of the attendant project. Building permit fees shall be reimbursed as follows:

1. Up to five thousand dollars (\$5,000.00) per program project located within the boundaries of the core development incentivization program project area as provided by subparagraph (B)(3)(a) of this section;
2. Up to five thousand dollars (\$5,000.00) per program project that creates affordable single-family housing in accordance with subparagraph (B)(3)(b) of this section;
3. Up to ten thousand dollars (\$10,000.00) per program project that creates affordable multi-family housing in accordance with subparagraph (B)(3)(b) of this section; or
4. Up to one thousand dollars (\$1,000.00) per program project that rehabilitates a historic structure in accordance with subparagraph (B)(3)(c) of this section.

~~D. A decision from the director of planning and development, or their designee, on any matters of interpretation in this section shall be final.~~

~~E.~~D. Planning and development department staff shall provide reports on prior fiscal year program activity to the governing body not less than annually. The reports shall contain:

1. The total number of projects utilizing the program;~~;~~
2. The total amount of fees waived;~~;~~ and
3. The total valuation of projects incentivized by the program.

~~F.~~E. The total amount of building permit fees ~~waived~~ reimbursed under this section shall be capped ~~at one hundred thousand dollars (\$100,000.00)~~ for each fiscal year in accordance with the limitations imposed under this section and as determined by the director of the planning and development ~~director.~~department. Reimbursements shall be limited as follows:

1. Not more than \$200,000 for the entire program;
2. Not more than \$100,000 for downtown core projects;
3. Not more than \$150,000 for affordable housing projects; and
4. Not more than \$20,000 for historic rehabilitation projects.

F. A decision from the director of the planning and development department, or their designee, on any matters of interpretation in this section shall be final.

G. ~~The provisions of Section 15.08.031 of this chapter shall be in effect until June 30, 2025. This section is repealed effective July 1, 2030.~~

Section 2. Sections, paragraphs, sentences, clauses and phrases of this ordinance are severable. If any phrase, clause, sentence, paragraph or section of this ordinance is declared illegal or unconstitutional, such illegality or unconstitutionality shall not affect any of the remaining phrases, clauses, sentences, paragraphs and sections.

Section 3. That this ordinance shall be in full force and effect upon its publication.

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PATRICK COLLINS, MAYOR

(SEAL)

ATTEST:

KRISTINA F. JONES, CITY CLERK

Published: _____
Wyoming Tribune-Eagle



Honorable Mayor Collins and Esteemed Cheyenne City Council

2101 O'Neil Ave.

Cheyenne, WY 82001

Recommendation Number Four, Fee Waiver Program

Dear Mayor Collins and Members of City Council,

We the members of the Affordable Housing Task Force recommend the Mayor's Office and City Council/City Staff immediately start creating a Fee Waiver/Reimbursement Program for developers/builders to incentivize the building of affordable housing. The program would waive the impact and/or building permit fee for affordable housing developments that are income restricted to those who earn at or below 80% of AMI. The waiver/reimbursement program will also be available for those seeking to build shelters or other projects that benefit people experiencing homelessness.

We anticipate this program being very similar to the fee waiver/reimbursement program that is currently in place for downtown development. The Fee Waiver application would be due at the time of submission of the development to the planning commission for their review and verification that the development will be income restricted.

Respectfully,

Brenda L. Birkle, Chair